[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 23-02-2026

In the Matter Of:

Petition filed by M/s **Technopark** for the Truing Up of Accounts for the Financial Year **2024-25**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	6,369.16	6,337.51	-31.65
2	Employee Cost	60.73	28.88	-31.85
3	Repairs & Maintenance	551.17	381.73	-169.44
4	Administration & General	55.22	53.95	-1.27
5	Depreciation	69.89	69.89	0.00
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	85.24	29.97	-55.27
8	Section 3(1) Electricity Duty	74.69	0.00	-74.69
9	Other Expenses	0.00	0.00	0.00
	TOTAL EXPENDITURE	**7,266.10**	**6,901.93**	**-364.17**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	158.37	158.37	0.00
12	Other Revenue	0.00	0.00	0.00
	TOTAL REVENUE	**158.37**	**158.37**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 6,369.16 Lakhs | Amount Approved: Rs. 6,337.51 Lakhs | Variance: Rs. -31.65 Lakhs

The actual distribution loss of 3.88% exceeds the KSERC-approved target of 3.40%. Excess loss of 4.22 lakh kWh at the average power purchase cost of Rs. 7.50/kWh results in a disallowance of Rs. 31.65 Lakhs, as per the formula prescribed in the KSERC Tariff Regulations.

2. Employee Cost

Amount Claimed: Rs. 60.73 Lakhs | Amount Approved: Rs. 28.88 Lakhs | Variance: Rs. -31.85 Lakhs

The Commission has examined the licensee's claim of ■60.73 lakh for Employee Cost against the approved normative target of ■28.88 lakh. As per the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, Operation and Maintenance (O&M;) expenses, which include Employee Cost, are controllable in nature and are to be allowed as per the norms specified in Annexure-7 of the said regulations. While the Commission may consider additional expenses due to uncontrollable factors or one-time expenses subject to a prudence check, the licensee has failed to provide any specific narrative justification for the significant variance of over 110% above the norm. In the absence of any documentation or reasoning related to pay revisions, increased scope of work, or other valid factors, the Commission finds no grounds to deviate from the established normative framework. Therefore, the claim is restricted to the escalated MYT norm of ■28.88 lakh, and the excess amount of ■31.85 lakh is disallowed due to a lack of prudent justification.

3. Repairs & Maintenance

Amount Claimed: Rs. 551.17 Lakhs | Amount Approved: Rs. 381.73 Lakhs | Variance: Rs. -169.44 Lakhs

The Commission has examined the Licensee's claim of ■551.17 Lakhs for Repair & Maintenance against the escalated norm of ■298.32 Lakhs. The Licensee has provided a breakdown of expenses, including costs for the Technocity campus and for one-time breakdown works. As per provision 80(3) of the regulations and the precedent set in the Technopark True-Up Order for FY 2022-23 (OP 84 2023), the Commission allows for certain expenses over and above the norm if they are for newly commissioned infrastructure not reflected in the base norm or are of a special, one-time nature. Accordingly, the Commission approves the claimed R&M; expenses for Phase-4 Technocity (■71.27 Lakhs) as its costs are not included in the base norm. Furthermore, the Commission approves the claimed 'One-Time / Break-down works' (■9.20 Lakhs) and associated 'Material and Spares Purchased' (■2.94 Lakhs) as special one-time expenditures. The total approved amount is the sum of the escalated norm and these specific exceptions: ■298.32 Lakhs + ■71.27 Lakhs + ■9.20 Lakhs + ■2.94 Lakhs = ■381.73 Lakhs. The remaining claimed amount of ■169.44 Lakhs, representing an over-expenditure on routine maintenance for other phases, is disallowed as it exceeds the normative limit without sufficient justification.

4. Administration & General Expenses

Amount Claimed: Rs. 55.22 Lakhs | Amount Approved: Rs. 53.95 Lakhs | Variance: Rs. -1.27 Lakhs

The Commission has examined the licensee's claim of ■55.22 Lakhs for Administrative & General Expenses against the amount of ■53.95 Lakhs approved in the Annual Revenue Requirement (ARR) for the financial year, as detailed in the licensee's own submission under Form D 3.4(b). The licensee's justification merely directs to this table of expenses without providing specific reasons for the net over-expenditure of ■1.27 Lakhs. While there are variations in individual sub-heads, with overages in items like Electricity Charges and Security Arrangements, the licensee has not furnished any details or justification to substantiate the necessity of this excess spending beyond the approved ARR. As per the

principles of prudence check, any deviation from the approved norms or budgets must be supported by satisfactory details and justification, which are absent in this case. Therefore, the Commission disallows the un-justified excess of ■1.27 Lakhs (■55.22 Lakhs claimed minus ■53.95 Lakhs approved) and approves the amount of ■53.95 Lakhs, thereby capping the A&G; expenses at the level approved in the ARR for the year.

5. Depreciation

Amount Claimed: Rs. 69.89 Lakhs | Amount Approved: Rs. 69.89 Lakhs | Variance: Rs. 0.00 Lakhs

Depreciation of Rs. 69.89 Lakhs has been verified against the asset register. The rates applied are in accordance with the CERC norms adopted by the Commission. No assets funded by grants or surplus were identified. Approved as claimed.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Interest & Finance Charges for FY 2024-25.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 85.24 Lakhs | Amount Approved: Rs. 29.97 Lakhs | Variance: Rs. -55.27 Lakhs

The approved amount is determined in accordance with Regulation 28(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which allows a return of 5.5% on the Net Fixed Assets (NFA). The Commission, in its Multi-Year Tariff Order for the control period (OP 12/2023), had explicitly approved the RoNFA for FY 2024-25 as ■29.97 Lakhs, based on an approved opening NFA of ■544.95 Lakhs. The licensee's claim of ■85.24 Lakhs is based on a significantly inflated NFA of ■1549.79 Lakhs, for which no compelling justification or evidence of new capital expenditure has been provided. As the licensee has failed to substantiate the deviation from the approved NFA trajectory, the Commission restricts the RoNFA to the amount originally approved in the MYT order. The excess claim of ■55.27 Lakhs is disallowed.

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 74.69 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. -74.69 Lakhs

Disallowed under Section 3(1) of the Kerala Electricity Duty Act, 1963. This statutory levy is borne by the licensee and cannot be passed through to consumers as part of the tariff. The Commission has consistently followed this position in all previous truing-up orders.

9. Other Expenses

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

The Commission has examined the licensee's claim of ■60.73 lakh for Employee Cost against the approved normative target of ■28.88 lakh. As per the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, Operation and Maintenance (O&M;) expenses, which include Employee Cost, are controllable in nature and are to be allowed as per the norms specified in Annexure-7 of the said regulations. While the Commission may consider additional expenses due to uncontrollable factors or one-time expenses subject to a prudence check, the licensee has failed to provide any specific narrative justification for the significant variance of over 110% above the norm. In the absence of any documentation

or reasoning related to pay revisions, increased scope of work, or other valid factors, the Commission finds no grounds to deviate from the established normative framework. Therefore, the claim is restricted to the escalated MYT norm of ■28.88 lakh, and the excess amount of ■31.85 lakh is disallowed due to a lack of prudent justification.

10. Employee Expenses

Amount Claimed: Rs. 60.73 Lakhs | Amount Approved: Rs. 28.88 Lakhs | Disallowed: Rs. 31.85 Lakhs

The Commission has examined the licensee's claim of ■60.73 lakh for Employee Cost against the approved normative target of ■28.88 lakh. As per the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, Operation and Maintenance (O&M;) expenses, which include Employee Cost, are controllable in nature and are to be allowed as per the norms specified in Annexure-7 of the said regulations. While the Commission may consider additional expenses due to uncontrollable factors or one-time expenses subject to a prudence check, the licensee has failed to provide any specific narrative justification for the significant variance of over 110% above the norm. In the absence of any documentation or reasoning related to pay revisions, increased scope of work, or other valid factors, the Commission finds no grounds to deviate from the established normative framework. Therefore, the claim is restricted to the escalated MYT norm of ■28.88 lakh, and the excess amount of ■31.85 lakh is disallowed due to a lack of prudent justification.

11. Return on Net Fixed Assets

Amount Claimed: Rs. 85.24 Lakhs | Amount Approved: Rs. 29.97 Lakhs | Disallowed: Rs. 55.27 Lakhs

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12. Power Purchase Cost — Distribution Loss Penalty

Amount Claimed: Rs. 6,369.16 Lakhs | Amount Approved: Rs. 6,337.51 Lakhs | Disallowed: Rs. 31.65 Lakhs

The actual distribution loss of 3.88% exceeds the KSERC-approved target of 3.40%. Excess loss of 4.22 lakh kWh at the average power purchase cost of Rs. 7.50/kWh results in a disallowance of Rs. 31.65 Lakhs, as per the formula prescribed in the KSERC Tariff Regulations.

Orders of the Commission

Having examined the petition filed by M/s **Technopark** for the Truing Up of Accounts for the Financial Year **2024-25**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **7,400.25 Lakhs**.

• The Total Approved Expenditure after detailed scrutiny is Rs. **7,036.08 Lakhs**.

• The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **7,625.01 Lakhs**.

• The Revenue Surplus for the Financial Year 2024-25 is hereby determined as Rs. **588.93 Lakhs** (surplus).

• The surplus of Rs. 588.93 Lakhs shall be retained in the regulatory surplus account of Technopark and adjusted against future revenue gaps, subject to imputation of notional interest as per KSERC practice.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-

Secretary